

Exhibit 46: Small- and mid-cap mutual funds in India have seen significant gross inflows between 2014 and 2017

	Equity MF gross inflows (Rs cr)	Small- and mid-cap MF gross inflows (Rs cr)	Small- and mid-cap as a % of total equity MF inflows
30 June 2011 to 30 June 2014	51,287	6687	13%
30 June 2014 to 30 June 2017	1,56,255	38,805	25%

Source: Ambit Capital using data from Value Research

Across the world and across various time periods, small-caps have outperformed large-caps in most stock markets. For example, as seen in the exhibit below, the outperformance of small-caps over large-caps for rolling five-year compounded annualized return from 1998 to 2004 has been 5.9 per cent in the US, while the same has been 4.6 per cent in the Asia-Pacific region (excluding Japan). In particular, more often than not, small-caps have outperformed large-caps in various countries over the past decade (see exhibits below).